

EV Transition IP Exposure: What German Automotive Suppliers Need to Know

A Brief for In-House Legal Teams — May 2026

The Shift Nobody Is Fully Prepared For

The electrification of the automotive industry is not just an engineering transition — it is an intellectual property reallocation event. Companies that built competitive advantage on ICE-era patents are watching that advantage erode. Meanwhile, the most valuable IP real estate of the next decade is being claimed right now — and many Tier 1 and Tier 2 suppliers are underexposed.

Three Risks That Deserve Immediate Attention

1. Legacy Portfolio Depreciation

ICE-related patents — fuel injection, transmission systems, exhaust technology — represent decades of accumulated IP value. That value is declining faster than most portfolio audits reflect. Companies that have not begun rebalancing toward electrification, software, and battery management technology are building on a shrinking foundation.

2. Chinese Competitor Aggression

BYD, CATL, and their supply chain partners are filing patent applications at extraordinary volume in European and US jurisdictions. German suppliers competing globally — particularly in battery thermal management, power electronics, and charging infrastructure — are encountering blocking positions they did not anticipate. The window to establish priority positions is closing in several key technology categories.

3. Software-Defined Vehicle IP Gap

Modern EVs are increasingly software products on wheels. OTA feature delivery, embedded systems, driver assistance, and vehicle-to-infrastructure communication create entirely new IP categories that most traditional automotive IP teams were not built to manage. Brand identifiers tied to software features require international registration strategies that differ fundamentally from hardware-era approaches.

What a Proactive Position Looks Like

- Portfolio audit mapped to EV architecture — identifying transferable assets, gaps, and extension opportunities
- Competitive landscape monitoring — tracking filing activity by Chinese, US, and Korean competitors in relevant technology classes
- International trademark strategy for software-defined feature branding across key markets (US, China, EU, Korea)

- Freedom-to-operate analysis in battery management, charging, and autonomy-adjacent technologies before market entry

The Opportunity

Companies that act in the next 12–18 months will establish IP positions that become structural competitive advantages. Companies that wait will find themselves navigating a landscape defined by others.

Prepared by Julian _____ | _____ | For discussion purposes only. Not legal advice.